FRANCHISE AGREEMENT

Falcon Lodge | Memphis, TN

Hotel	Falcon Lodge
Franchisor	Sunrise Express Hotels Inc.
Franchisee	Falcon Lodge Owner LLC
Agreement Date	July 8, 2023
Term	9 years

1. Grant of License. Franchisor grants Franchisee a non-exclusive license to operate the Falcon Lodge as a Sunrise Express hotel at 886 Quarry Drive, Memphis, TN 66503 for a term of 5 years. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument.

2. Fees. Franchisee shall pay a monthly royalty of 7.9% of Gross Room Revenues, a program fee of 3% and reservation fees as set forth in the Fee Schedule. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt.

3. Brand Standards. Franchisee shall operate and maintain the Hotel in accordance with the Brand Standards Manual and complete the Product Improvement Plan by the dates specified. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

4. Reservation System. The Hotel shall participate in the central reservation system and loyalty program and honor all member rates and benefits. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument.

5. Liquidated Damages. If the Franchisee terminates early or the Franchisor terminates for cause, Franchisee shall pay liquidated damages equal to 36 months of royalty and program fees. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect.

6. Quality Assurance. Franchisor may conduct inspections and quality assurance audits with or without notice. Failure to achieve minimum scores may result in a default. Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

7. Transfer. No sale or transfer of the Hotel may occur without Franchisor's consent, which shall not be unreasonably withheld, and payment of a transfer fee. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN.

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8. Grant of License. Franchisor grants Franchisee a non-exclusive license to operate the Falcon Lodge as a Sunrise Express hotel at 886 Quarry Drive, Memphis, TN 66503 for a term of 12 years. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

9. Fees. Franchisee shall pay a monthly royalty of 7.0% of Gross Room Revenues, a program fee of 3% and reservation fees as set forth in the Fee Schedule. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument.

10. Brand Standards. Franchisee shall operate and maintain the Hotel in accordance with the Brand Standards Manual and complete the Product Improvement Plan by the dates specified. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. Each party represents that it has full power and authority to enter into and perform its obligations hereunder.

11. Reservation System. The Hotel shall participate in the central reservation system and loyalty program and honor all member rates and benefits. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns.

12. Liquidated Damages. If the Franchisee terminates early or the Franchisor terminates for cause, Franchisee shall pay liquidated damages equal to 36 months of royalty and program fees. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

13. Quality Assurance. Franchisor may conduct inspections and quality assurance audits with or without notice. Failure to achieve minimum scores may result in a default. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

14. Transfer. No sale or transfer of the Hotel may occur without Franchisor's consent, which shall not be unreasonably withheld, and payment of a transfer fee. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument.

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15. Grant of License. Franchisor grants Franchisee a non-exclusive license to operate the Falcon Lodge as a Sunrise Express hotel at 886 Quarry Drive, Memphis, TN 66503 for a term of 7 years. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder.

16. Fees. Franchisee shall pay a monthly royalty of 7.3% of Gross Room Revenues, a program fee of 3% and reservation fees as set forth in the Fee Schedule. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

17. Brand Standards. Franchisee shall operate and maintain the Hotel in accordance with the Brand Standards Manual and complete the Product Improvement Plan by the dates specified. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt.

18. Reservation System. The Hotel shall participate in the central reservation system and loyalty program and honor all member rates and benefits. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

19. Liquidated Damages. If the Franchisee terminates early or the Franchisor terminates for cause, Franchisee shall pay liquidated damages equal to 36 months of royalty and program fees. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. Each party represents that it has full power and authority to enter into and perform its obligations hereunder.

20. Quality Assurance. Franchisor may conduct inspections and quality assurance audits with or without notice. Failure to achieve minimum scores may result in a default. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

21. Transfer. No sale or transfer of the Hotel may occur without Franchisor's consent, which shall not be unreasonably withheld, and payment of a transfer fee. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect.

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22. Grant of License. Franchisor grants Franchisee a non-exclusive license to operate the Falcon Lodge as a Sunrise Express hotel at 886 Quarry Drive, Memphis, TN 66503 for a term of 6 years. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder.

23. Fees. Franchisee shall pay a monthly royalty of 7.6% of Gross Room Revenues, a program fee of 3% and reservation fees as set forth in the Fee Schedule. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

24. Brand Standards. Franchisee shall operate and maintain the Hotel in accordance with the Brand Standards Manual and complete the Product Improvement Plan by the dates specified. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt.

25. Reservation System. The Hotel shall participate in the central reservation system and loyalty program and honor all member rates and benefits. Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder.

26. Liquidated Damages. If the Franchisee terminates early or the Franchisor terminates for cause, Franchisee shall pay liquidated damages equal to 36 months of royalty and program fees. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt.

27. Quality Assurance. Franchisor may conduct inspections and quality assurance audits with or without notice. Failure to achieve minimum scores may result in a default. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument.

28. Transfer. No sale or transfer of the Hotel may occur without Franchisor's consent, which shall not be unreasonably withheld, and payment of a transfer fee. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Falcon Lodge Owner LLC

By: Patrick Zimmerman Title: Managing Member Date: 07/08/2023

_____

James Vasquez

By: Tina Brooks Title: Managing Member Date: 07/08/2023

Exhibit A - Property

Falcon Lodge, 886 Quarry Drive, Memphis, TN 66503. Parcel containing approximately 14.93 acres, together with all improvements thereon.

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